QP Code: 26900093

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BBA (Honours) REGULAR EXAMINATION October 2026

FIFTH SEMESTER

Core Course (CC) - MG5CCRBBA300 - STRATEGIC MANAGEMENT

Duration: 1 Hr:30 Min Maximum Marks: 50

General Instructions

- **Award full marks for correct answer with relevant explanation.**
- **Alternative technically correct answers may also be accepted.**
- **For theory questions, proportionate marks shall be awarded for partial answers.**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

short answer questions, each question carries three marks

1a. List any three reasons for the importance of Strategic Management in modern businesses.[K] / [CO1] **(1mark for each point)**

Three reasons for importance of Strategic Management

1. Provides long-term direction and defines goals for the organisation.
2. Helps to anticipate environmental changes and face competition effectively.
3. Ensures optimum utilization of resources and improves organizational performance and profitability.

OR

1b. Define organizational Objectives. [K] / [CO1]

Organizational objectives are the desired end results that an organization plans to achieve within a specific time period. They are derived from the mission and vision. They provide basis for decision making and measurement of performance.

2a. Explain why coordination among different functional strategies is important. [U] / [CO2]

Functional strategies are plans of different departments like Marketing, Finance, HR and Production. If they work independently, there will be conflict. For example, marketing may promise high sales but production may not have capacity.

OR

2b. State the meaning of competitive advantage. [K] / [CO2]

Competitive advantage is the superiority a firm has over its competitors that helps it to generate greater sales, higher profit margin or retain more customers. It is achieved when a firm can provide same value at lower price or greater value at same price. It can be created through cost leadership, differentiation or focus strategy.

3a. Define Competitive Strategy. [K] / [CO2]

Competitive strategy is a strategy formulated at business level to compete successfully in a particular industry or market. According to Michael Porter, it is about gaining competitive advantage. There are three types: Cost Leadership, Differentiation and Focus strategy. It answers the question

OR

3b. State any three characteristics of a strategic alliance [K] / [CO2] (1mark for each point)

1. It is an agreement between two or more firms to cooperate for mutual benefit.
2. Firms remain legally independent while sharing resources, knowledge or technology.
3. It is formed to achieve strategic objectives like entering new market or reducing competition.

4a. List three limitations of PESTLE Analysis [K] / [CO2]

1. It involves huge data collection and can cause information overload and analysis paralysis.
2. The external environment changes rapidly, so the analysis quickly becomes outdated.
3. It is based on assumptions and estimates, so it may not give accurate predictions and oversimplifies the environment.

OR

4b. Differentiate Internal & External Business Environment [U] / [CO2]

Internal Environment consists of factors inside the organization like employees, culture, structure, finance and technology. It is controllable by management. External Environment consists of factors outside like competitors, government policy, economy, social factors and technology. It is uncontrollable but the firm has to adapt to it.

5a. **What is meant by a SMART KPI? Expand and briefly explain each element ofSMART.**

[U] / [CO3]

KPI means Key Performance Indicator, which is a measurable value to evaluate success of strategy. SMART is the criteria for effective KPI.

S - Specific: KPI should be clear and precise.

M - Measurable: It should be quantifiable.

A - Achievable: It should be realistic and attainable.

R - Relevant: It should be linked to strategic goals.

T - Time-bound: It should have a deadline.

OR

5b. Importance of performance measurement in strategic evaluation [U/CO3]

Performance measurement is essential to check whether implemented strategy is achieving objectives. It helps to identify deviations between expected and actual results. It provides feedback for taking corrective actions. It also helps to motivate employees by linking rewards to performance and ensures efficient use of resources

Part B

Long Essay

A choice between two options for each question, answer two short essay questions, one from each pair, Each question carries 10 marks.

6a. Explain the relationship among Corporate-level, Business-level, and Functional-level strategies in a multi-business firm.[U] / [CO1]

1. Corporate-Level Strategy

Formulated by top management / Board. It decides the overall scope and direction.

- Decides which businesses to enter, retain or exit.

2. Business-Level Strategy

Formulated by business unit heads. Also called competitive strategy.

- For each SBU (Strategic Business Unit), how to gain competitive advantage.
- As per Porter: Cost Leadership, Differentiation, Focus.

3. Functional-Level Strategy

Formulated by functional heads of Marketing, Finance, HR, Operations.

- Day-to-day operational plans to implement business-level strategy.

In a multi-business firm like Reliance Industries Ltd (RIL), strategy is formulated at 3 hierarchical levels. They are interdependent.

1. Corporate-Level Strategy

Formulated by Top Management - Mukesh Ambani and Board.

Decides overall scope, which industries to enter or exit.

Reliance Example:

Reliance started as textile, then corporate strategy decided to diversify into:

- Petrochemicals & Refining (Jamnagar Refinery)
- Jio Telecom (2016)
- Reliance Retail

- Green Energy (2021)

2. Business-Level Strategy

Jio Business Level: Cost Leadership Strategy - Provided free data/calls in 2016 to destroy Airtel, Idea and gain market share. Now leader.

3. Functional-Level Strategy

Formulated by Department Heads - Marketing, Finance, HR, Operations.

- Marketing Functional: Aggressive ads with Shah Rukh Khan, free SIM distribution strategy.
- HR Functional: Hired top engineers from Silicon Valley.

OR

6b. Outline the role of the manager in strategic decision-making. [K] / [CO1]

Managers are the primary strategists. Their role is critical in all phases of strategic management.

1. Environmental Scanner: Manager monitors internal and external environment using PESTLE and SWOT to identify opportunities and threats.

2. Goal Setter: Defines vision, mission and long-term objectives.

3. Decision Maker: This is the core role. He/She:

- Generates strategic alternatives.
- Evaluates options using cost-benefit, risk analysis.
- Selects best strategy.

4. Resource Allocator: Allocates money, manpower, technology for strategy implementation.

7a. Explain the concept of industry attractiveness in the GE–McKinsey Matrix. [U] / [CO2]

GE-McKinsey Matrix is a 9-cell portfolio analysis model developed by GE and McKinsey to analyse business portfolio of a multi-business firm. It overcomes limitation of BCG matrix by using multiple factors.

It has two dimensions:

1. Industry Attractiveness (Y-Axis): How attractive is the industry to invest? It is measured by:

- Market factors: Size, growth rate, seasonality.
- Competition: Number of rivals, entry barriers.
- Financial: Profitability, ROI.
- PESTLE factors: Government regulations, technology.

2. Business Strength / Competitive Position (X-Axis): How strong is our business in that industry?

- Market share, brand image, production capacity, profit margin.

The 9 Cells are divided into 3 zones:

- Invest/Grow (Top-left 3 cells): High Industry Attractiveness + High Business Strength. Company should invest heavily.
- Selectivity / Hold (Diagonal 3 cells): Medium attractiveness/strength. Selective investment.
- Harvest/Divest (Bottom-right 3 cells): Low attractiveness + Low strength. Company should exit.

OR

7b. Describe the major features of a stability strategy and explain the situations in which it is appropriate [U] / [CO2]

Meaning: Stability strategy means maintaining the current business with same products, same markets, without major growth or reduction. Firm focuses on doing existing business better.

Major Features:

1. No major change: Continues with same products and customers.
2. Focus on efficiency: Improves productivity, reduces cost, increases quality.
3. Incremental growth: Small growth of 2-5% through internal efficiency, not expansion.
4. Less risky: No heavy investment or diversification.
5. Consolidation oriented: Strengthens current position.

Situations when it is appropriate:

1. When environment is stable: No major opportunity or threat.
2. When firm is satisfied with current performance: Firm is profitable,
3. After rapid expansion: After fast growth, firm needs time to consolidate resources.
4. In small firms: Where growth needs huge capital and is risky.
5. When industry is mature: No scope for growth, so better to maintain market share.

Types of Stability: No-change, Profit strategy, and Pause/Proceed with caution strategy.

Part C - Compulsory Case Study [15 Marks]

8.BYJU'S Case Study Answer [A / CO3]

(a) Define Strategy Implementation and 4 Factors Influencing its Effectiveness

Strategy Implementation is the process of putting formulated strategy into action. It is converting strategic plans into operational reality through allocation of resources, designing structure, leadership, and control systems. While formulation is - what to do, implementation is how to do it. Many good strategies fail due to poor implementation - as in BYJU'S case.

Four Factors that Influence Effectiveness of Strategy Implementation:

1. Organizational Structure: The structure must match strategy. If company expands to 21 countries and many businesses, it needs divisional, matrix or SBU structure with proper control. BYJU'S structure became too complex and unmanageable.

2. Leadership:Effective leader provides direction, motivation, manages change and takes corrective decisions. Founder Byju Raveendran later admitted "entered too many markets too quickly" - showing failure of leadership in controlling over-expansion.

3. Resource Allocation and Financial Control: Implementation needs proper allocation of money, manpower and technology. It also needs strong financial control and audit system. Lack of financial discipline leads to failure.

4. Culture, Communication and Control System: I mplementation requires open communication, ethical culture, and strong control mechanisms like timely financial reporting, audit, KPI monitoring. Weak control leads to crisis.

(b) How BYJU'S events are connected with Implementation Failure

All events in the case are classic symptoms of Strategy Implementation Failure, not strategy formulation failure. Its formulation to grow during COVID was correct, but implementation failed.

1. Failure of Structural Implementation - Over-expansion:

Company expanded into more than 21 countries and acquired several education businesses. Valuation rose from $5B to $22B. But implementation requires integrating these acquisitions. BYJU'S failed to integrate, structure became too wide. Founder himself said "entered too many markets too quickly" - shows poor implementation of corporate-level growth strategy.

2. Failure of Control System and Financial Implementation:

Company delayed filing financial statements for year ended March 2022. Auditor Deloitte resigned stating it had not received required documents. Three investor directors left board. This shows complete breakdown of financial control and governance system, which is a key part of implementation. Strategy implementation needs timely reporting and transparency.

3**. Failure of Resource Allocation and Operational Implementation:**

- BCCI initiated insolvency for unpaid sponsorship dues of $19 million.

- US lenders claimed $1 billion unpaid.

- In Aug 2024, Supreme Court revived insolvency and 1,887 creditors claimed $1.5 billion.

This shows company over-committed resources, could not manage cash flow, and failed to allocate resources properly for implementation. It spent on acquisitions without keeping money for operations.

4**. Result - Value Destruction:**

Due to above implementation failures, valuation fell from $22 billion in 2022 to zero as stated by founder. This proves that even best growth strategy fails if implementation is weak.

(c) If I was Appointed Leader of BYJU'S in 2022 - Three First Actions

If I was appointed in 2022 before crisis became severe (when valuation was still $22B but first signs of delay in filing appeared), I would have taken following 3 actions on priority basis:

Action 1: STOP Further Expansion and Consolidate Core Business - PAUSE Strategy

Justification from case: Founder acknowledged company had entered too many markets too quickly and expanded into 21 countries. The root cause of crisis was aggressive diversification.

I would immediately stop acquiring new companies and close/exit non-profitable foreign markets. Focus only on core Indian K-12 learning app business which was profitable. Sell non-core assets like WhiteHat Jr to generate cash. This would reduce complexity and cash burn. This is a Stability / Retrenchment strategy to save company.

Action 2: Restore Financial Governance, Transparency and Auditor Confidence

Justification from case: The immediate trigger for crisis was delay in filing financial statements for March 2022, resignation of Deloitte as auditor, and exit of 3 investor directors. This destroyed investor trust and led to lenders action.

I would:

- Form new strong Finance team and internal audit team.

- Finalize audited financial statements within 60 days and submit all documents to Deloitte to prevent resignation.

- Hold weekly board meetings with investor representatives to restore trust.

- Implement strong MIS and SMART KPI for daily cash flow monitoring.

Good governance would have prevented BCCI and US lenders going to court.

Action 3: Immediate Debt Restructuring and Cost Rationalization

Justification from case: Case mentions unpaid dues of $19M to BCCI, $1B to US lenders, and later $1.5B claims from 1,887 creditors which led to insolvency in Supreme Court in Aug 2024.

I would negotiate with BCCI to convert sponsorship to smaller deal or EMI payment, to avoid insolvency proceedings which damages brand image.

- Negotiate with US lenders for debt restructuring - convert short-term debt to long-term, reduce interest, bring timeline to repay.

- Drastic cost cutting: Freeze new hiring, cut marketing expenses by 50%, reduce high office rentals, layoff excess staff from acquired companies.

- This would prevent company going into insolvency and save valuation from falling to zero.

Conclusion: These three actions follow the correct order of strategic management - first stop the bleeding (consolidation), second fix governance (control), third fix finances (resource allocation). If implemented in 2022, BYJU'S could have avoided insolvency of 2024.